



The biggest game changer in the sector, it promises to eliminate a lot of headaches from the claim process

insurance where the claim is typically filed by the nominee or beneficiary it can now be initiated by the hospital in the course of their record keeping. The hospital will be a node on the network and the record it creates will be logged in as a claim filing. Multiple verifications can be done by connecting the various institutions involved on the network like the police department, the concerned municipal department etc. These nodes are trusted third parties on the network and are known as “Oracles”. Similarly, in case of medi-claim or auto insurance the approved hospitals or garages are connected on the network and a claim gets logged from their end.

This model was demonstrated at an hackathon event in London in 2015 by a startup, InsureETH, in the travel insurance sector. Using smart contracts, they built a payout model for insured flight tickets when cancellations or delays are reported from verified flight data sources. This does not involve filing of any claim but uses data from public sources on cancelled or delayed flights to affect payouts. This process makes claim filing hassle free for the insured / beneficiary and is absolutely customer centric.

So basically, the network takes over the role of an intermediary or clearing house or administrator. Obviously this means a lot of cost savings in terms of manpower, paperwork and administrative hassles for the insurance companies. A win-win for all.